

2.5 DIVISION OF LABOUR

Multiple Choice Questions

1992/CE/II/11

The Ha family and the Wong family are living next door to each other and their children go to the same kindergarten. The children are taken to school by Mr Ha and brought home by Mrs Wong. This is an example of

- A. division of labour.
- B. diseconomies of scale.
- C. diminishing returns.
- D. absolute advantage.

1993/CE/II/15

Specialization is beneficial to an economy because

- A. more resources are used in producing capital goods.
- B. the threat of protectionism can be avoided.
- C. the risk of unemployment is lowered.
- D. the productivity of the factors of production is raised.

1994/CE/II/59

Which of the following is **NOT** an advantage of division of labour?

- A. higher work incentive
- B. higher labour productivity
- C. a smaller amount of tools required
- D. the right person doing the right job

1997/CE/II/48

The production of good X involves two different tasks. When Mary focuses on one task and Peter on another, their total daily output is greater than that when each of them has to do both tasks. This can be explained by

- (1) economies of scale.
 - (2) the principle of comparative advantage.
 - (3) the advantages of division of labour.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

1999/CE/II/52

Which of the following is **NOT** an advantage of division of labour?

- A. greater economies of scale
- B. economy in the use of capital
- C. higher labour productivity
- D. improved skill through more practice

2000/CE/II/19

When division of labour is practised,

- A. workers have greater job satisfaction.
- B. machines are used more intensively.
- C. producers produce a greater variety of goods to suit different consumer tastes.
- D. the occupational mobility of workers increases.

2001/CE/II/16

Which of the following is an advantage of division of labour?

- A. A wider choice of goods and services can be provided.
- B. Workers have a greater incentive to work.
- C. Workers have higher occupational mobility.
- D. Less time is required to train workers.

2003/CE/II/17

In a secondary school, different teachers are responsible for teaching different subjects. Which of the following are reasons for the above arrangement?

- (1) It can reduce the cost of training.
 - (2) Practice makes perfect.
 - (3) Different teachers are good at teaching different subjects.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2004/CE/II/17

When division of labour is practised,

- A. firms will enjoy greater economies of scale.
- B. workers will have a higher occupational mobility.
- C. workers will have a higher income.
- D. output per man-hour will increase.

2007/CE/II/14

Division of labour can raise labour productivity. One reason is that

- A. fewer tools are needed.
- B. geographical mobility is increased.
- C. time is saved from not moving from task to task.
- D. there would be a higher degree of interdependence among different production stages.

2009/CE/II/17

Which of the following is a possible reason for the increase in average labour productivity resulting from practising division of labour?

- A. Fewer capital goods are required.
- B. The occupational mobility of workers is higher.
- C. The total wage income of workers is higher.
- D. Time is saved from moving workers between different tasks.

2010/CE/II/16

A large supermarket chain store is composed of different sections: marketing, sales, delivery, accounts and management. An advantage of the above arrangement is:

- A. The staff will have a higher working incentive.
- B. A greater variety of services can be provided to customers.
- C. The supermarket chain store can enjoy economies of scale.
- D. The supermarket chain store can save on the cost of training its staff.

2018/DSE/I/11

A professor has decided to change the way of marking the exam papers of his subject. Instead of asking his teaching assistants to mark the whole paper for their own classes, he assigns each teaching assistant to mark one question of the paper for the entire candidature. Which of the following situations would likely occur?

- (1) The marking will be more accurate since practice makes perfect.
 - (2) Training time will be reduced as each assistant only needs to know part of the marking schemes.
 - (3) The tools required for marking will be reduced such as fewer red pens are needed.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2020/DSE/I/3

Which of the following may exist in a barter economy?

- (1) specialisation
 - (2) inflation
 - (3) interest
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2022/DSE/I/9

In the Outline Development Plan for the Guangdong-Hong Kong-Macao Greater Bay Area, Hong Kong is an international financial and transportation centre; Macao is a leisure and tourism centre; Guangzhou is an international commercial centre.

This is an example of _____ division of labour because _____.

- A. simple.....each city has its own comparative advantage
- B. simple.....each city engages in different production stages
- C. regional.....multiple cities cooperate to build the Greater Bay Area
- D. regional.....each city has its own specialty of production

2025/DSE/I/09

Which of the following statements about division of labour are correct?

- (1) When a barter economy starts using money to facilitate exchange, division of labour tends to be practised to a greater extent.
 - (2) When a closed economy opens up to free trade, division of labour tends to be practised to a greater extent.
 - (3) When a small clinic expands into a large hospital, division of labour tends to be practised to a greater extent.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

Short & Structured Questions

1995/CE/I/2

In the production of television news reports broadcasted every day, different people perform different duties. For example, there are reporters, editors, cameramen, etc.

What economic principle is illustrated by this? Give **TWO** reasons to explain why the application of this principle can increase the labour productivity in this production. (5 marks)

1997/CE/I/10(c)

Define average labour productivity and give **TWO** reasons why specialization can raise the average labour productivity of a country. (6 marks)

2001/CE/I/1

Given **THREE** reasons why division of labour can increase labour productivity. (3 marks)

2003/CE/I/10(a)

In the production of textbooks, different people perform different duties. For example, there are editors, typists, proofreaders etc.

What economic principle is illustrated by this practice? Suggest **THREE** reasons why the application of this principle can increase labour productivity. (4 marks)

2013/DSE/II/10(a)

There are cooks, waiters, managers and receptionists working in restaurants.

What economic principle is illustrated by the above phenomenon? List **THREE** reasons why the principle can increase labour productivity. (4 marks)

2016/DSE/II/13(a)

The airport corporation of Country H is a public corporation which hires different people to operate the airport. For example, there are security guards, technicians, engineers and financial managers.

What economic principle is illustrated by this practice? Suggest **THREE** reasons why the application of this principle can increase labour productivity. (4 marks)

2018/DSE/II/13(b)

In view of the population projection in Hong Kong, politicians suggest the following measures:

- (i) providing subsidy for firms to improve production technology
- (ii) importing more workers

Analyse how each of the above two measures affects average labour productivity. (5 marks)

2019/DSE/II/5

Wong's family and Chan's family live next door to each other. State ONE economic concept involved in each of following arrangements and explain why the arrangement is beneficial to both families.

- (a) Mr Wong teaches the children from both families English while Mrs Chan teaches them Japanese. (3 marks)
- (b) On Christmas Eve, the two families buy food ingredients and cook together instead of buying and cooking separately. (3 marks)

2022/DSE/II/10c

The Olympic Games attract billions of international television viewers to watch the competitions among thousands of top athletes.

Athletes compete in the Olympic Games with their support teams consisting of sport psychologists, physical therapists, nutritionists, etc.

- (c) Which economic principle is illustrated in the above practice? State TWO reasons why such a practice can increase labour productivity. (3 marks)